July 8, 2025

Re: SB131 – Removal of Advanced Manufacturing

Dear Governor Newsom, President Pro Tempore McGuire, Speaker Rivas, Chair Wiener, Chair Gabriel, and Members of the Legislature,

On behalf of the undersigned labor, environmental justice, and environmental organizations, we write to urge SB 131's exemption of advanced manufacturing projects from the California Environmental Quality Act (CEQA) be removed via a budget trailer bill.

Our coalition wants to grow high quality union manufacturing jobs in California and preserve our state's leadership in innovation. Our opposition is not to these facilities themselves but enabling their development without environmental review. It is a false choice that our options are an abundant, clean economy with high quality jobs for all OR public health, and environmental protection. We can and must have both, and California has become the fourth largest

economy in the world in part by recognizing this. But the advanced manufacturing CEQA exemption in SB 131 is based on the mistaken view that technical progress and industrial development necessitate neglect – of the environment, of workers, and of communities.

There are proven ways to speed up the permitting of technologically advanced projects while meeting our environmental, labor, and community health goals, for example through Leadership Projects and AB 205 streamlining as CEQA currently allows. But full CEQA exemptions risk danger to the public and the environment.

The advanced manufacturing CEQA exemption will harm California's working-class communities, climate, water resources, and natural environment. The exemption makes workplaces more dangerous, increases energy and water usage without adequate safeguards for affordability and the environment, increases unhealthy, toxic contaminants in our communities, and prevents workers, communities, and governments from holding companies accountable to protect community benefits, good jobs, and safe places to live. Our communities, jobs, and environment are already under severe threat from the Trump administration. The legislature must not make it worse.

"Advanced" does not mean "clean." These facilities can be massive sources of toxic pollution and use extremely high amounts of precious water and energy, making them the very projects that should undergo robust environmental review. Instead, they would be entirely exempted under the current version of SB 131. And to be clear: the advanced manufacturing exemption does nothing to create housing. In fact, the absence of CEQA review would make it more difficult to build predictably safe housing near industrial zones across California.

Spotlighting Harms in Several Industries

The definition of "advanced manufacturing" includes semiconductor manufacturing. Santa Clara County has 23 active Superfund sites, more than any other county in the United States, related to semiconductor facilities. These facilities were found to be leaking dangerous chemical solvents into local groundwater, with local residents reporting birth defects and miscarriages for years.[1] The industry is notorious for its extensive use of toxic PFAS, linked to cancer, reproductive harm, immune system damage, and other serious health problems, even at low levels of exposure. Semiconductor manufacturing routinely ships, stores, and uses extremely hazardous gases, the unplanned emission of which poses lethal risks to workers and neighbors. Semiconductor facilities also require large amounts of energy and massive volumes of water. Semiconductor facilities are already exempted from the National Environmental Protection Act (NEPA), making CEQA the last chance for these facilities to receive a holistic environmental review.

California Must Not Give Any Advantage to Industry and the Trump Administration in its Drive to Completely Deregulate the Manufacturing Sector
Without comprehensive environmental review that protects the health of workers, communities, and the environment, we are concerned that the industries within the electric vehicle supply chain could lead to harmful outcomes. These industries include mineral extraction and refining, component manufacturing, battery assembly, EV assembly, and battery recycling, among others. While growing these industries is essential to making the climate transition and to generating union jobs to grow the middle class, we do not want these industries to poison the planet and our communities while we develop them. Battery manufacturing facilities constructed in the last few years have threatened contamination of nearby towns and led to worker health and chemical safety violations at numerous plants. SB 131 would enable companies to expand without much of the environmental oversight and disclosure they were recently subject to under CEQA. Toxic substances management violations and worker health and safety violations in California's EV supply chain are considerable and well documented.

Removing the Manufacturing Exemption is a Better Path Forward to an Abundant, Safe, and Healthy Economy
A number of processes have been established to both accelerate development (i.e., CEC accelerated permitting) and ensure environmental compliance, community benefits, and high quality jobs. SB 131 would entirely undercut the spirit of and ongoing work in these areas. Worse, the definition of advanced manufacturing facility includes a catch-all for any facility that includes "systems that result from substantive advancement, whether incremental or breakthrough, beyond the current industry standard." This definition is so broad that facilities exempted under this definition could include chemical recycling facilities and other forms of disposal, aerospace, biofuels, data centers, and pesticide plants, to name a few. All of these facilities can have incredibly high risks to workers, surrounding communities, the climate, and the environment, and would mean that projects handling highly explosive and hazardous materials would not be subject to environmental review under CEQA.

Furthermore, limiting the exemption to industrial zones is entirely insufficient to protect public health. Californians across the state live within feet of these zones, and the pollution emitted from them can poison neighborhoods and regions for decades following their closure.

In recent years, CEQA has been fundamental in protecting frontline communities from industrial hazards. A 2023 lawsuit filed under CEQA successfully blocked the development of a biofuel facility in the upper Delta, which would have disproportionately exposed low-income Bay Area residents to carcinogenic pollutants. Similarly, in a 2024 lawsuit, CEQA allowed

overburdened communities in the Imperial Valley to protect themselves from unstudied and undisclosed harms caused by regional lithium mining. SB 131 would remove this vital tool and would therefore exacerbate environmental damage and injustice across the state.

Granting a CEQA exemption for advanced manufacturing would remove one of the only significant legal tools available to government, workers, and vulnerable communities to ensure that manufacturing growth is protective of communities, generates high quality jobs and results in real community benefits– not just generate profits for corporations that externalize their costs onto communities and taxpayers.

Our Request
Given the major community health, environmental, and worker safety issues at play – only a handful of which we have discussed here – we request that the CEQA exemption for advanced manufacturing facilities be removed via budget trailer bill immediately.

Sincerely,

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